

Employing in the United Kingdom

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant written statements of employment particulars from day one
- **Monthly payroll** — salary payments in GBP, itemised payslips via PAYE Real Time Information
- **Tax withholding** — income tax and employee/employer National Insurance remitted to HMRC on your behalf
- **Statutory schemes** — auto-enrolment workplace pension, SSP, SMP/SPP and redundancy administration
- **Leave and termination management** — notice periods, entitlements and unfair dismissal risk guidance

Employment Conditions

Contracts & Probation

Employers must provide a written statement of employment particulars on or before day one (Employment Rights Act 1996, as amended). There is no statutory minimum or maximum probation period — 3 months is most common, with 6 months typical for senior hires. Under the Employment Rights Act 2025, the qualifying period for ordinary unfair dismissal claims remains 2 years as at July 2026, but is legislated to fall to 6 months from 1 January 2027, with the compensation cap abolished from the same date.

Item	Detail	Legal Basis
Written statement	Job duties, hours, pay, holiday and notice terms — due day one	Employment Rights Act 1996 (s.1)
Fixed-term contracts	Permitted; employee treated no less favourably than a comparable permanent employee	Fixed-term Employees Regulations 2002
Unfair dismissal qualifying period	2 years (current); falling to 6 months from 1 Jan 2027	Employment Rights Act 2025
Probation period	No statutory minimum/maximum; 3–6 months typical in practice	Employer discretion

Working Hours & Overtime

The Working Time Regulations 1998 cap average working time at 48 hours/week (averaged over 17 weeks), unless the employee has signed a valid opt-out. There is no statutory right to overtime premium pay in the UK — any enhanced rate is a matter of contract, though total pay in any period must still meet at least the National Living/Minimum Wage for hours worked.

Rule	Detail	Authority
Maximum average week	48 hours, averaged over a 17-week reference period (opt-out available)	Working Time Regulations 1998
Daily/weekly rest	11 hrs consecutive daily rest; 24 hrs weekly rest (or 48 hrs/fortnight)	Working Time Regulations 1998
Night work	Average 8 hrs/24 hrs for night workers; free health assessments	Working Time Regulations 1998
Overtime premium	Not statutory — contractual only	Employer discretion

National Minimum/Living Wage (from 1 April 2026)

Rates are set annually by the government on Low Pay Commission recommendations and take effect every 1 April. The National Living Wage applies to workers aged 21 and over.

Band	Hourly Rate (GBP)	Notes
21 and over (National Living Wage)	£12.71	+4.1% from £12.21; largest adult rise since NLW launch
18 to 20	£10.85	+8.5% year-on-year
16 to 17 and apprentices	£8.00	+6.0% year-on-year

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	5.6 weeks (28 days for a 5-day week, capped at 28)	Employer	Accrues from day one; bank holidays can be included
Maternity Leave	Up to 52 weeks (26 ordinary + 26 additional)	Employer, reclaimable via SMP	Statutory Maternity Pay: 90% of AWE for 6 wks, then lower of 90% or £194.32/wk for 33 wks
Paternity Leave	Up to 2 weeks	Employer, reclaimable via SPP	Day-one right to take leave; 26 weeks' service needed to qualify for pay (£194.32/wk or 90% AWE if lower)
Shared Parental Leave	Up to 50 weeks (of the 52-week maternity entitlement)	Employer, reclaimable via ShPP	Can be split between parents in blocks
Statutory Sick Pay	Up to 28 weeks	Employer (not government-reclaimable)	£123.25/week; payable from day 1 of absence (waiting period abolished under ERA 2025)

★ HERO TIP

The Employment Rights Act 2025 is phasing in significant reforms through 2026–2027: SSP is now a genuine day-one right with no lower earnings limit, paternity and unpaid parental leave became day-one rights from 6 April 2026, and "fire and rehire" dismissals become automatically unfair from 1 January 2027. Review contractual probation clauses now — the shrinking unfair dismissal qualifying period will materially change risk for new hires from 2027.

Payroll, Tax & Contributions

Employer National Insurance & Statutory Costs (2026/27 tax year)

Contribution	Employer Rate	Notes
Employer National Insurance (Class 1, secondary)	15%	On earnings above the Secondary Threshold of £5,000/year
Employment Allowance	up to £10,500/year offset	Available to most eligible employers against total employer NIC liability
Workplace pension (auto-enrolment)	Minimum 3% of qualifying earnings	Employee minimum 5% (inc. tax relief); 8% combined minimum
Apprenticeship Levy	0.5% of annual pay bill	Only applies where UK pay bill exceeds £3 million/year

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer National Insurance (15%, above threshold)	\$450.00	15.00%
Workplace pension, employer minimum (3%)	\$90.00	3.00%
EOR service fee (HeroForce)	\$500.00	16.67%
Estimated total monthly cost	~\$4,040.00	~134.7%

HeroForce EOR service fee shown at USD \$500 per employee per month, flat rate. Employer NI is illustrative and assumes the Employment Allowance has already been exhausted elsewhere in the client's UK entity. Employee deductions (withheld separately) include employee NI (8% up to the Upper Earnings Limit, 2% above), pension contribution and progressive income tax.

Income Tax (2026/27 tax year)

Income tax is withheld monthly under PAYE and remitted to HMRC. Thresholds are frozen until at least 2030–31. Scotland applies its own income tax bands, which differ from the rest of the UK.

Band (rest of UK)	Taxable Income	Rate
Personal Allowance	Up to £12,570	0%
Basic rate	£12,571 – £50,270	20%
Higher rate	£50,271 – £125,140	40%
Additional rate	Above £125,140	45%

Termination & Separation

Notice Periods (Statutory Minimum)

Length of Continuous Service	Employer's Minimum Notice	Key Rule
1 month to 2 years	1 week	Statutory minimum; contract may specify longer
2 to 12 complete years	1 week per complete year of service	Employment Rights Act 1996, s.86
12+ years	12 weeks (statutory maximum)	Does not increase beyond 12 weeks
Employee resignation	At least 1 week after 1 month's service	Contract may require longer

Statutory Redundancy Pay (2026/27)

Employees with 2+ years' continuous service dismissed by reason of genuine redundancy are entitled to a statutory lump sum based on age, capped years of service (max 20) and a capped week's pay of £751 (from 6 April 2026).

Age Band (per year worked)	Weeks' Pay per Year	Cap
Under 22	0.5 week	Capped weekly pay of £751
22 to 40	1.0 week	Capped weekly pay of £751
41 and over	1.5 weeks	Capped weekly pay of £751
Maximum statutory payout	£22,530 (20 years' service cap × 1.5 weeks × £751)	

★ HERO TIP

Statutory redundancy pay is only the floor — many UK employers offer enhanced contractual severance, and settlement agreements (with independent legal advice for the employee) are the norm for negotiated exits. From 1 January 2027 the unfair dismissal qualifying period drops to 6 months and the compensation cap is abolished entirely, so any employee who reaches 6 months' service on or after that date gains full protection — plan restructures and probation reviews with this date in mind.

Bank Holidays 2026 (England & Wales)

The UK has no single nationwide public holiday calendar — England and Wales observe 8 bank holidays in 2026, Scotland 9–10 (adding 2 January and St Andrew's Day, and skipping Easter Monday), and Northern Ireland 10 (adding St Patrick's Day and the Battle of the Boyne). Bank holidays are not automatically paid days off by law; entitlement is set by the employment contract and can be counted within the 5.6-week statutory annual leave.

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
6 April	Easter Monday	National (not observed in Scotland)
4 May	Early May Bank Holiday	National
25 May	Spring Bank Holiday	National
31 August	Summer Bank Holiday	National (Scotland observes 3 August instead)
25 December	Christmas Day	National
28 December	Boxing Day (substitute, as 26 Dec falls on a Saturday)	National

Scotland additionally observes 2 January and St Andrew's Day (30 November); Northern Ireland additionally observes St Patrick's Day (17 March) and the Battle of the Boyne (13 July 2026, substituted from 12 July).

Ready to hire in the United Kingdom?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries. Onboard your first UK employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$500** per employee per month.